

CHAPTER 3

THE CLASSIC CASES, I: THE TULIPOMANIA; JOHN LAW AND THE BANQUE ROYALE

Speculators may do no harm as bubbles on a steady stream of enterprise. But the position is serious when enterprise becomes the bubble on a whirlpool of speculation.

—JOHN MAYNARD KEYNES,
*The General Theory of
Employment Interest and Money*

That there were speculative episodes going back to the days of the Florentines and the Venetians none can doubt. Fernand Braudel, the French economic historian and ultimate authority on these matters, has noted that there were active securities markets in Genoa, Florence, and Venice as early as the 14th century, and long before then there was active trading in coinage and commodities, with, almost certainly, purchase and sale based not on present but on imagined prospective value.

The first modern stock market—modern especially as to the volume of transactions—appeared, however, in Amsterdam at the beginning of the 17th century. And it was in the stable, wide-horized land of the Dutch, with its stable and somber people, that there came in the 1630s the first of the great speculative explosions known to history. It remains to this day one of the most remarkable. It was not, however, in stock-market offerings or in real estate or, as one might have expected, in the superb Dutch paintings;